

SUPERIOR COURT OF JUSTICE – ONTARIO

Re: JULIE P. SIMMONS, HAROLD A. W. SIMMONS,
EMILY C. SIMMONS a minor, by her Litigation Guardian,
HAROLD A. W. SIMMONS and ALEXANDRA E. SIMMONS

Plaintiffs

v.

MALLIKA JAYAWAEDENE and PAJITH PERERA

Defendants

BEFORE: Master Lou Ann M. Pope

APPEARANCES: Alex Kluchuk, Obradovich Law, for responding plaintiffs

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REASONS FOR ENDORSEMENT

[1] The defendants seek an order for security for costs against the plaintiffs.

Background

[2] The plaintiffs are no longer residents of Canada. Shortly before the trial scheduled to proceed on September 29, 2014, the plaintiffs moved to England. Consequently, the trial was adjourned and this motion was brought. This action is scheduled to proceed to trial before a jury for four weeks commencing March 21, 2016.

[3] This action for personal injuries arises out of a motor vehicle accident on April 7, 2006 in which it is alleged that the defendant rear-ended the plaintiff’s vehicle which had come to a complete stop at a red traffic light. The plaintiff’s vehicle was allegedly pushed into the car in front of it which was also stopped for the red traffic light. The plaintiff, Julie P. Simmons (“Julie”), was a seat-belted driver, who claims to have sustained physical injuries as a result of the accident. In addition to the claim for general damages, Julie claimed for medical care expenses, out-of-pocket expenses, loss of housekeeping capacity, loss of ability to engage in the caregiving activities for her daughter, Emily, and other pecuniary losses. The plaintiff, Wayne Simmons

(“Wayne”), Julie’s husband, and Alexandra and Emily, Julie’s daughters, all claimed for pecuniary and non-pecuniary losses arising out of the injuries suffered by Julie in the accident under s. 60 of the *Family Law Act*, R.S.O. 1990, c. F.3 (“FLA”).

- [4] Julie claimed \$630,000 in general and special damages. Harold claimed \$50,000 and Alex claimed \$20,000. Emily claimed \$1,700,000. Emily was 15 years old at the time of her mother’s accident. She suffers from a severe neurological disease which has caused her to be blind and a paraplegic. She is non-weight bearing and completely dependent on others for all necessities of life. It is alleged that prior to the accident Julie was Emily’s primary caregiver. Thus, the amount claimed by Emily is significant due to Julie’s continuing injuries which allegedly resulted in Julie’s inability to provide care to Emily to the extent she was able to do so prior to the accident. Emily claimed for the care that she would have received from her mother before the accident.
- [5] The defendants’ position is that Julie’s injuries do not meet the threshold under the *Insurance Act*, R.S.O. 1990, c. I.8, s. 267.5(3)(5).
- [6] This action was commenced on April 4, 2008. Examinations for discovery were completed and mediation was held in September 2010.
- [7] This motion was first returnable November 15, 2014. The defendants conducted a cross-examination of Julie on April 24, 2015.

Preliminary Issues

- [8] At the commencement of the hearing, plaintiffs’ counsel raised the following three evidentiary issues that were not contained in their factum.

1. Whether defendants’ references to settlement communications and offers to settle should be struck out

- [9] The plaintiffs submit that the defendants’ disclosure of settlement discussions and two offers to settle this action contained in Theodore Charney’s affidavits sworn February 18, 2015 and May 19, 2015 should be struck out as being improper and in breach of rule 49.06.
- [10] The plaintiffs contend further that the fact of the offers to settle, even the redacted version, should not have been disclosed to the court. They rely on Rule 49.06, as follows:

49.06(1) No statement of the fact that an offer to settle has been made shall be contained in any pleading.

(2) Where an offer to settle is not accepted, no communication respecting the offer shall be made to the court at the hearing of the proceeding until all questions of liability and the relief to be granted, other than costs, have been determined.

(3) an offer to settle shall not be filed until all questions of liability and the relief to be granted in the proceeding, other than costs, have been determined.

- [11] The plaintiffs rely on *Hallman Estate (Re)*, [2009] O.J. No. 3890 (S.C.J.), where the court dealt with an application to expunge portions of an affidavit that disclosed the contents of a “without prejudice” settlement letter. The widow and beneficiary of a spousal trust commenced an application seeking an accounting by the trustees of the spousal trust and their removal. The trustees sent a letter marked “without prejudice” to the widow’s lawyer which contained a settlement proposal. The widow filed the affidavit in a motion and in the affidavit she disclosed the contents of the letter which the trustees sought to have expunged. D.M. Brown J. noted that it was common ground between the parties that the settlement letter was a communication made in furtherance of settlement and therefore cloaked with settlement privilege. Justice Brown applied the principle set down in *Ross River Dena Council v. Canada (Attorney General)*, [2009] Y.J. No. 7 (S.C.), para. 51, that settlement privilege is one which belongs to both parties to the communication, and neither can unilaterally waive it. However, the privilege attaching to a communication made in furtherance of settlement may be lost if the party resisting its disclosure waives the privilege. Further, the onus of establishing a waiver of privilege rests with the party asserting the waiver. (*SNC-Lavalin Engineers & Constructors Inc. v. Citadel General Assurance Co.* (2003), 63 O.R. (3d) 226 (Master), para. 54.)
- [12] There is no issue that the defendants’ offers to settle this action are rule 49 offers to settle. (Affidavit of Theodore Charney, sworn February 18, 2015, para. 4)
- [13] In my view, for the following reasons, by disclosing the fact of the defendants’ offers to settle the action including the terms of the offer, the defendants were in breach of subrules 49.06(2) and (3). Firstly, rule 49 applies to motions. (Rule 49.02(2)) Subrule 49.02(1) permits a party to a proceeding to serve on any other party an offer to settle any one or more of the claims in the proceeding on terms specified in the offer to settle. Further, Rule 49 is a complete code with respect to offers to settle in a proceeding. It is my view that subrules 49.06(2) and (3) could not be any clearer. Firstly, where there is an offer that is not accepted, there shall be *no communication* respecting the offer to the court at the hearing of the motion until the relief is granted, other than costs. Secondly, there is a prohibition against *filing* an offer to settle until the issues on the motion are determined and the relief granted, other than costs. The plaintiffs have not waived the right to settlement privilege.
- [14] The reasons cited by the courts in the *Taulbee et al. v. Bowen et al*, 1986 CanLII 2549 (ON SC) at pp. 6-8, and *Shadows v. Travelers Canada Corp.*, [1990] O.J. No. 24 (Ont. H.C.J.), at p.8, support the proposition that rule 49 offers should not affect the analysis under a rule 56.01 security for costs motion.
- [15] Therefore, paragraph 4 and Exhibit “B” to the affidavit of Theodore Charney, sworn February 18, 2015, are hereby struck out. Similarly, paragraph 4 and Exhibit “B” of the Affidavit of Theodore Charney, sworn May 19, 2015 are hereby struck out.

2. Whether the defendants’ three supplemental motion records should be struck out

- [16] **Defendants' Supplemental Motion Record:** This record was served on February 18, 2015, prior to the plaintiffs serving their responding material to the motion. It contains the UK Costed Life Care Plan which the plaintiffs served on the defendants on February 3, 2015. In my view, it was proper for the defendants to deliver the supplemental motion record because it was delivered prior to the plaintiffs delivering their responding material. Secondly, it was not improper for the defendants to file the Life Care Plan if the defendants intended to rely on it and if it would inform the court of the future care costs for Julie while residing in the UK.
- [17] **Defendants' Second Supplemental Motion Record:** This motion record was served on February 24, 2015, one day following delivery of the plaintiffs' responding material. The purpose of this material was to provide grounds for the defendants to seek an adjournment of the motion to cross-examine Julie on her affidavit.
- [18] The plaintiffs submit that paragraph 4 of the Affidavit of Theodore P. Charney, sworn February 24, 2015, is inadmissible as it is in violation of rule 50.09 which protects disclosure at a pre-trial conference of discussions regarding the issues on this motion. Rule 50.09 provides as follows:
- No communication shall be made to the judge or officer presiding at the hearing of the proceeding or a motion or reference in the proceeding with respect to any statement made at a pre-trial conference, except as disclosed in an order under rule 50.07 or in a pre-trial conference report under rule 50.08.
- [19] Paraphrasing paragraph 4 of Theodore Charney's affidavit, he states that either during the pre-trial before Justice Archibald on July 16, 2014 or immediately following it, he suggested to plaintiffs' counsel that the only real issue on this motion was quantum and the terms upon which the defendants would accept the security for costs.
- [20] In my view, paragraph 4 of Mr. Charney's affidavit is improper and in breach of rule 50.09 because, although Mr. Charney is not certain if the discussions were made at the pre-trial or following it, the fact that it is possible that they were made during the pre-trial, bring them within the scope of rule 50.09. Further, as the statements were not disclosed in the pre-trial conference report, they fall within the scope of the rule. (50.07, 50.08).
- [21] Therefore, paragraph 4 of the affidavit of Theodore P. Charney, sworn February 24, 2015 is hereby struck out.
- [22] **Defendants' Third Supplemental Motion Record:** This motion record was served on May 19, 2015 following the cross-examination of Julie. In my view, there is nothing improper with the defendants filing the transcripts of the cross-examination if they intended to refer to Julie's evidence given at the cross-examination. It was also appropriate to set out the outstanding undertakings given by Julie.
- 3. Whether defendants' references to medical records that are not contained in the material filed ought to be struck out**

- [23] The plaintiffs submit that references in the defendants' material to medical records that are not filed on this motion should be struck out. They state that approximately 12 times the defendants referred to passages in a report where the author has referenced an earlier medical record or report of a different author, where that author's report/record was not filed on this motion. For example, Nancy Lok who prepared the defendants' Future Care Cost Review of Julie, stated that she considered facts, opinions or assumptions from a previous occupational therapy note; however, that record was not filed on this motion. The plaintiff submits that the particular quote from the occupational therapy note referred to by Ms. Lok was from four years earlier.
- [24] I understand there has been a wealth of medical records produced in this action and had the defendants produced all medical records, the material would have been more voluminous than it is. However, there is always a danger that reading only an excerpt from a medical report will not reflect accurately the opinion of the author. The best evidence rule addresses that exact situation.
- [25] For those reasons, in my view, it is not appropriate to strike out the defendants' references; however, the fact that the entire report is not in evidence will go to the weight placed on that evidence.

Rule 56.01

- [26] The approach of the courts on motions for security for costs is as set out below.
- [27] The application of rule 56.01 requires a two-step inquiry as determined by the leading case of *Hallum v. Canadian Memorial Chiropractor College*, [1989] O.J. No. 1399, CarswellOnt 896 (H.C.J.) ("Hallum"), at para. 10:

Rule 56.01 which empowers a court to order security for costs establishes a two-step inquiry. First, the defendant must show that it "appears" that one of the six factors set out in cls. (a) through (f) of rule 56.01 exists. Secondly, if the defendant can clear the first hurdle, the court may make any order as to security for costs "as is just". I take this second stage to require an inquiry into all factors which may assist in determining the justice of the case. I also take the discretion created by this second stage as permitting order which range from an order requiring full security for costs in a lump sum payment to an order which provides that no security for costs need be posted: *Horvat v. Feldman* (1986), 15 C.P.C. (2d) 220 (Ont. H.C.J.).

- [28] Once the defendants have satisfied their onus, the onus shifts to the plaintiffs to prove the effect upon them if an order for security for costs were granted. In addition, the plaintiffs must adduce evidence as to whether they are likely to succeed in the action. (*Morton v. Canada (Attorney General)* (2005), 75 O.R. (3d) 63, at para. 19)
- [29] Justice Brown in *Adrian Peel Architect Inc. v. Al Soorty et al*, 2013 ONSC 6183, at para. 16, stated that determining whether it is "just" to make an order for security for costs is not an onerous threshold and that a balancing is essential with due regard to the purposes of affording defendants a reasonable measure of protection for the costs but also with regard to the potential impact on the plaintiff.

[30] Quinn J. in *Morton* noted that rule 56.01(1) is silent as to what factors the court should consider in the exercise of its discretion. He further opined that the reported and unreported decisions in this area identify some of the factors to be taken into account, but there is no definitive or closed list. Further, he stated that the importance of any particular factor will vary from case to case. The list of factors is as follows:

- a) merits of the action;
- b) the plaintiff's burden of proof in establishing injustice of the order;
- c) the plaintiff's chances of success at trial;
- d) absence of expert evidence;
- e) limitations defences;
- f) impecuniosity;
- g) financial ability to proceed with the action;
- h) assets sufficient to satisfy a costs award;
- i) recovery implications for cross-claiming defendants;
- j) "as is just" affords the widest discretion;
- k) rule 56.04 affords discretion on the form of security; and
- l) "security is just security" and will be returned if the plaintiffs are successful.

Step 1 – Defendants' Onus

[31] The defendants must show that it appears that one of the six factors set out in clauses (a) through (f) of rule 56.01 exists.

[32] The defendants rely on Rule 56.01(1)(a) which states as follows:

56.01(1) The court, on motion by the defendant or respondent in a proceeding, may make such order for security for costs as is just where it appears that,

- (a) the plaintiff or applicant is ordinarily resident outside Ontario;

[33] It is undisputed that the plaintiffs ordinarily reside outside Ontario; therefore, the defendants have satisfied their onus of establishing that one of the considerations listed under Rule 56.01(1)(a) to (f) is made out.

Step 2 – Plaintiffs' Onus

[34] The onus now shifts to the plaintiffs to prove the effect upon them if an order for security for costs were granted.

[35] While the plaintiffs do not assert that they are impecunious, they oppose the motion on three grounds; namely, an order for security for costs will cause them financial hardship, the merits of the action are good, and the costs sought by the defendants are excessive.

[36] I will now proceed to consider the factors relevant to this motion.

Financial Effect on the Plaintiffs

- [37] The plaintiffs submit that an order for security for costs will cause financial hardship to their family. The following is a summary of the plaintiffs' evidence regarding their financial situation and the effect on them of a security for costs order.
- [38] Neither Julie nor Wayne is working thus they have no employment income. Julie has a pension of £360.00 per month. Wayne has suffered from anxiety and depression since 2010 and in 2011 a stress-related illness, polymyalgia rheumatic (PMR), incapacitated him. Wayne retired early in 2011; however, he has no pension as the company he worked for had no pension plan. They face significant daily living expenses. They sold their home in Canada for \$1,080,000 CD, which they owned free and clear, less real estate fees and costs which left them with net proceeds in excess of \$900,000 CD. With their life savings, their portfolio was then in excess of \$1,000,000 CD. Since the sale of their home, and after incurring expenses for apartment rental in Canada, furniture storage, moving costs, legal expenses, and flights, their portfolio after conversion to pounds sterling was £608,900 as of October 2014, and in excess of \$110,000 CD remaining in Canada. They have incurred expenses since arriving in the U.K. including basic living expenses, set up costs, adapted (wheelchair access) car purchase and ongoing rent. Their life savings is now reduced to £570,000 in the U.K. and approximately \$112,000 CD in Canada (at TD Bank). They need to purchase a home in Wales soon to accommodate Emily's needs as they are restricted from retrofitting rental property to accommodate hoists, lifts, ramps and a shower/change table and wet room that Emily had previously. They need between £430,000 and £650,000 for a comparable home in the U.K. to what they owned in Canada for over 23 years. They would have to pay cash for the home as they would not be approved for a mortgage in the U.K. given that they are both retired and do not earn a salary.
- [39] The plaintiffs assert that they will have to use most if not all of their remaining savings to purchase a home; therefore, given their current savings, any order for security for costs would cause financial hardship to the family as they could not afford to purchase a home and pay the costs order.
- [40] Having reviewed the plaintiffs' evidence, the court is unable to assess the reasonableness of plaintiffs' assertion regarding the cost of a new home in the U.K. comparable to their previous home in Canada. There is no evidence of the features of the plaintiffs' former home in order to compare with the proposed homes in the U.K. Further, based on the pictures and descriptions of proposed homes in the U.K., all of them appear to be grand for a family of four people; however, it may be that they are comparable homes. It is accepted, however, that they need to purchase a home, particularly to accommodate Emily's needs. In conclusion, without the proper evidence, the plaintiffs' assertion is simply that—an assertion. It will be in the court's discretion to apply whatever weight it finds is appropriate in the circumstances.

Merits of the Action

- [41] Where impecuniosity has not been shown, a legitimate factor in deciding whether or not it would be just to require security for costs is whether the claim has a good chance of

success. (*Zeitoun v. Economical Insurance Group*, [2008] O.J. No. 1771, 91 O.R. (3d) 131 (Div. Ct), aff'd [2009] O.J. No. 2003, 96 O.R. (3d) 639 (C.A.))

- [42] In *Stojanovic v. Bulut*, 2011 ONSC 874 (CanLII) (Master), aff'd on appeal 2011 ONSC 4632 (CanLII), para. 62, Master Dash defined the meaning of "good chance of success" as follows:

I am not determining who will be successful at trial on a full evidentiary record. It is only necessary to determine on the basis of the evidence before me whether the plaintiff has a good chance of success. This is a higher standard than "not devoid of merit" but is not as high as proving the claim on a balance of probabilities at trial or establishing that there is no triable issue on a summary judgment motion.

- [43] Master Glustein, as he then was, addressed this issue a year later in *Bruno Appliance and Furniture v. Cassels Brock & Blackwell LLP*, 2012 ONSC 4038 (CanLII), at para 46 and 57, by concurring with Master Dash in *Stojanovic*, supra, that the test the plaintiffs must establish falls between the standard of "not devoid of merit, and the standard of proving the claim on a balance of probabilities at trial or establishing that there is no triable issue on a summary judgment motion". Master Glustein went on to opine that the court must review the pleadings, evidence, transcript, and any other relevant fact before the court on the motion to determine if there is a good chance the plaintiff will succeed at trial.
- [44] To satisfy the "good chance of success" test, the plaintiffs must show that they have a good chance of success in obtaining judgment against the defendants, which will require the plaintiffs to prove a) the defendants are liable for the accident; b) the accident caused injuries to Julie; and c) Julie's injuries satisfy the statutory "threshold". I will now address these issues.
- [45] It is my view having reviewed the evidence regarding liability for the accident, the plaintiffs will succeed with no difficulty at trial proving that the defendants are liable for the accident particularly because the defendant rear-ended the plaintiff. There appears to be no issue regarding the vicarious liability of the defendant owner or lack of the owner's consent for the driver to operate the vehicle, such that the owner is also expected to be found liable for the accident.
- [46] The following is the salient evidence regarding liability. The subject motor vehicle accident occurred on April 7, 2006. The defendant's 1999 Nissan rear-ended the plaintiffs' 2000 Pontiac van which was operated by Julie while it was fully stopped at an intersection waiting to make a left turn. The defendant's discovery evidence is that she was driving between 58-56 km per hour when approaching the intersection. The accident report sets out that she was moving at 50 km per hour. The police notes indicate that the defendant's vehicle had extensive front end damage and that the defendant driver was inattentive and did not see the plaintiff's stopped van. The defendant was driving with her son-in-law. The notes state further that it was raining and the roads were wet. The defendant driver was charged with careless driving and it appears that she was convicted of Fail to Share Road When Overtaking. Julie's

discovery evidence is that the impact of the collision propelled her car forward into the vehicle in front of her.

- [47] Julie alleges that as a result of the accident she suffered injuries to her left shoulder, neck and low back which she continues to suffer to date. Julie was 55 years old on the date of the accident. The motor vehicle accident report indicates that there were no injuries; however, she saw her family doctor three days after the accident with complaints of neck pain, back pain and shoulder pain. The family doctor found tenderness in the trapezius and upper back muscles on May 30, 2006. Julie had frequent and regular treatments following the accident. She applied for and received accident benefits for caregiving, housekeeping, medical and rehabilitation.
- [48] The medical opinions regarding Julie's injuries and their causes are at odds. The plaintiffs' expert, Dr. Robin Richards, is of the view that Julie's complaints were caused by the accident and that they are serious and permanent. On the other hand, the defendants' expert, Dr. Erin Boynton's opinion is that Julie's left shoulder complaints were due to frozen shoulder sustained during a functional abilities evaluation, and her other complaints have resolved and are not permanent. The following is a brief summary of the medical evidence filed on this motion.
- [49] Julie was assessed by orthopaedic surgeon, Dr. Robin Richards, who the plaintiffs retained as an expert on the issues of causation and damages. Dr. Richards has been qualified as an expert witness on many occasions and he is a recognized expert in upper extremity orthopedic surgery. Dr. Richards assessed Julie on two occasions, July 6, 2010 when Julie was 59 years of age, and some four years later on March 17, 2014 when Julie was 63 years of age. Dr. Richards' opinion was unchanged when she saw Julie four years later. His opinion is that Julie sustained injuries to her left shoulder, neck and low back in the accident which are chronic, severe and permanent. Her symptoms are due to soft tissue injuries affecting the left shoulder girdle, left upper extremity and paraspinal musculature of the lumbar spine. In addition, it is Dr. Richards' opinion that Julie has permanent limitations for impact activity, heavy lifting, overhead activity, climbing, bending, stooping and repetitive or forceful use of the left upper extremity against resistance. She also has permanent occupational, recreational and household limitations. In particular, Dr. Richards is of the view that Julie is much less able to care for Emily than she was before the accident and requires independent assistance to provide care for Emily which is expected to be a permanent change.
- [50] The defence expert is Dr. Erin Boynton, orthopaedic surgeon, who examined Julie on July 6, 2011. It is her opinion that Julie did not suffer a permanent physical injury as a result of the accident and, further, Dr. Boynton could not attribute much injury to the subject accident as there were no significant signs of trauma. Dr. Boynton attributes Julie's left shoulder complaints to a spontaneous frozen shoulder which was largely resolved when she assessed Julie in July 2011. Dr. Boynton agreed with Dr. Fielden, orthopaedic surgeon, in a report dated June 18, 2007, referred to in the defendants' Future Care Cost Report, that Julie developed frozen shoulder syndrome which was caused by the Functional Abilities Evaluation held on December 14, 2006, some eight months post-accident. It is Dr. Boynton's view that Julie did not suffer a permanent physical injury as a result of the accident, nor is there any identifiable functional

restriction in Julie's range of motion of the left shoulder. Further, Dr. Boynton's opinion is that Julie suffered a temporary minor inability to do lifting, transferring and disimpacting her daughter for approximately four weeks following the accident.

- [51] Shortly after examining Julie in 2014, Dr. Richards prepared a rebuttal report to the conclusions held by Dr. Boynton. Essentially, there was nothing in Dr. Boynton's report that led Dr. Richards to change his opinion. In particular, regarding Julie's left shoulder complaints, Dr. Richards noted that Dr. Boynton had not assessed Julie's grip strength. He also disagreed that there was no evidence of left shoulder complaints until January 29, 2007. Dr. Richards noted evidence of symptomatology and findings in relation to Julie's neck and lateral back with right and left shoulder abduction in an examination on May 10, 2006, only one month following the accident. In addition, Dr. Richards disagrees that Julie suffered from a frozen shoulder unrelated to the accident as, in his opinion, frozen shoulder does not result in long-term complaints of pain and weakness. Dr. Richards is of the view that the medical evidence is at odds with Dr. Boynton's analysis that there is no identifiable functional restriction in the range of motion of the left shoulder, and that Dr. Boynton's analysis of Julie's current condition is not consistent with Dr. Richards' physical examination and analysis of her medical condition.
- [52] The defendants rely also on reports from other medical assessors, whose opinions are referred to in the defendants' Future Care Cost report. For example, it is stated that Dr. Kaminker, orthopaedic surgeon, found no evidence of specific bony pathology or neurological pathology that would be expected to cause permanent impairment.
- [53] It is important to note that none of the medical opinions referred to by the defendants in their motion material are filed on this motion. In particular, Dr. Boynton's report was not filed. For the most part, their findings and opinions are referred to in the defendants' future care cost report. Although I have referenced the findings and opinions of several assessors referred to by the defendants, Dr. Richards, the plaintiffs' expert's opinions are preferred given that his reports were filed in evidence on this motion and, in my view, are more convincing than the defence's medical evidence.
- [54] The parties respective future care costs substantially differ given their reliance on the expert opinion of each party. It goes without stating that the future care costs based on the plaintiffs' report is significantly higher than those costed by the defendants' expert.
- [55] At trial the plaintiff will be required to prove that her injuries satisfy the "threshold" in order to collect non-pecuniary damages and health care expenses from the protected defendants. In short, she needs to prove that her injuries arose directly or indirectly from the use or operation of the automobile and that as a result of the use or operation of the automobile she has sustained permanent serious impairment of an important physical, mental or psychological function. (*Insurance Act*, R.S.O. 1990, c. I.8, s. 267.5(3)(5)) In her action the plaintiff also claimed damages for economic loss, which courts have held are not subject to the verbal threshold. As such, even if she cannot prove that her injuries meet the verbal threshold, she may still be entitled to damages for economic loss.

- [56] In conclusion on this factor, it is my view that Julie's injuries will meet the statutory threshold based primarily on the strength of Dr. Richards' findings and opinions contained in his reports. As such, she will be compensated in general damages in an amount that will exceed the statutory threshold of \$30,000. The plaintiffs provided a list of cases where the plaintiffs suffered similar injuries that awarded general damages ranging from \$35,000 to \$101,000, in 2014 dollars after inflation.
- [57] For the above reasons, I find that the merits of the plaintiffs' action are strong and they have a good chance of success.

Merits of Emily's Claim for Value of Care

- [58] The largest part of the plaintiffs' claims is *Emily's* claim for \$1,700,000 for damages under s. 61 of the *Family Law Act*, R.S.O. 1990, c. F.3 for the loss of caregiving services that she would have received from her mother, Julie, had Julie not been injured in the accident.
- [59] The parties disagree on whether Emily is entitled to these damages under s. 60 of the *Family Law Act*. However, given my view that Julie's injuries will meet the threshold, it is not necessary that this issue be addressed.

Cause of Plaintiffs' Deficiency in Assets

- [60] The plaintiffs' position is that the defendants' conduct, which is the subject matter of this litigation, caused the plaintiffs' assets to become insufficient. They rely on *Cigar500.com Inc. v. Ashton Distributors Inc. et al*, 2009 CanLII 46451 (ON SC)), for the proposition that the plaintiffs are entitled to take this position. They allege that their financial security has been detrimentally affected by the subject accident which caused Julie's injuries leading to significant life changes. They contend that it was one of the reasons which forced Wayne into early retirement with the loss of an annual salary and caused their move to the U.K. where they have support from relatives.
- [61] It appears from the evidence that there have been two major changes in the lives of the Simmons family since the subject motor vehicle accident, being Wayne's alleged early retirement, and the move to the U.K. which the plaintiffs' assert were both due to the detrimental effects that the accident had on the family, both financially and emotionally. Of course, these allegations will have to be proven at trial; however, given my finding that Julie's injuries will meet the threshold, it is my view that these claims have a good chance of success as well.

Conclusion

- [62] For the above reasons, I find that the plaintiffs have met their onus by demonstrating that an order for security for costs would have a detrimental effect on them. The evidence reveals that the plaintiffs have an ability to post security for costs; however, it is my view that to do so would create an unjust situation for them. It would be unjust because, as I found above, the defendants will be found liable for the accident and Julie's injuries will meet the threshold and she will be awarded damages in excess of the statutory threshold.

- [63] In balancing the right of the defendants to have a reasonable measure of protection for costs of the action should the plaintiffs be unsuccessful and the potential impact on the plaintiffs, I have reached the conclusion that it would be unjust in these circumstances to require the plaintiffs to post security for costs.
- [64] The defendants' motion is hereby dismissed.
- [65] The defendants shall pay the plaintiffs' costs of the motion fixed in the amount of \$7,500, payable within 30 days.

(original signed)

Master Lou Ann Pope

October 5, 2015